

A Certified Tax Accountant's Office

Analysis of the RC Upright Method as Applied to Rental Housing Investment

Long-Term Cash Flow & Inheritance Strategy

Comparative Study: RC Upright Method vs. Conventional Construction

The table below compares cumulative investment recovery over 100 years between the **RC Upright Method** and a **conventional light-steel-frame structure** of equivalent scale. All figures are in thousands of yen (¥000).

Assumption	Detail
Construction cost	¥40,000,000 (equity — no borrowing)
Land	Owner-occupied (no acquisition cost)
Gross yield	10% (annual income ÷ construction cost)
Occupancy rate	Yr 1–5: 95% Yr 6–10: 95% Yr 11–15: 90% Yr 15–24: 85%
Income tax rate	10% (assumed sole income source)
Depreciation period	Conventional: 27 yrs RC Upright: 47 yrs
Reconstruction cycle	Conventional: every 25 yrs (full rebuild + 1 yr vacancy) RC Upright: renovation only — no rebuild required
Renovation cost	RC Upright: ¥25,000,000 Conventional rebuild: ¥45,000,000

Cumulative Net Cash Flow — Key Milestones (¥000)

Period	Method	Investment (¥000)	Annual Recovery	Cumul. at Period End	Eco Index
Yr 1–25	Conventional (light steel)	40,000	2,470→2,210	-28,190	35.9%
Yr 1–25	RC Upright Method	40,000	2,421→2,166	-7,160	38.5%
Yr 26–50	Conventional (light steel)	45,000	2,470→2,210	-16,640	30.5%
Yr 26–50	RC Upright Method	25,000	2,421→2,166	25,424	73.9%
Yr 51–75	Conventional (light steel)	45,000	2,470→2,210	-5,090	28.8%
Yr 51–75	RC Upright Method	25,000	2,421→2,166	58,009	89.5%
Yr 76–100	Conventional (light steel)	45,000	2,470→2,210	6,460	28.0%
Yr 76–100	RC Upright Method	25,000	2,421→2,166	90,594	98.4%

- ★ Under the conventional method, a full rebuild (equal to the original investment) is required every 25 years, and rental income ceases for the assumed 1-year construction period.
- ★ The RC Upright Method requires no rebuild. Renovation costs are substantially lower, and the property continues to generate rental income without interruption.

Cumulative Cash Flow Chart (¥000) — 100-Year Horizon



Recovery formula: Annual rental income × occupancy rate – running costs (property tax, misc. expenses) – income tax

② RC Upright Method and Inheritance Planning

It is well established that income-generating real estate — such as rental properties — offers inheritance tax advantages through assessed-value reductions, compared with idle land or financial assets. As a general rule, land is assessed at approximately 20% below market value, and rental buildings at roughly 50% of construction cost.

However, many heirs who inherit rental buildings face significant financial burdens from repair and maintenance costs, and some are compelled to sell the property to fund inheritance tax payments.

The assessed-value reductions for inheritance tax are broadly comparable between the RC Upright Method and conventional construction. What sets the RC Upright Method apart is its ability to **significantly reduce the financial burden on heirs**: no full rebuilding is required, major renovations are minimised, and the property continues to generate rental income — preserving both asset value and cash flow across generations.

Furthermore, because the RC Upright Method supports **sectional ownership (strata title)**, the property can be sold unit-by-unit rather than as a whole building, greatly simplifying the transfer of rights and enabling flexible estate distribution strategies.

With the recent introduction of the *Inheritance Tax Settlement System (Gift Tax Credit System)*, the options for lifetime gifting have expanded. While such gifting does not always reduce inheritance tax, transferring a value-retaining, income-generating RC Upright property to children represents a highly effective strategy for estate planning and equitable distribution of assets.

③ The Economic Eco Index

The **Economic Eco Index** is a proprietary metric that expresses the return on long-term building utilisation as a ratio between cumulative net cash flow and cumulative total investment over the full holding period.

The longer a building remains in productive use, the higher this index rises — reflecting both **financial profitability** and **environmental sustainability**. Keeping a building in use for longer is, by definition, kinder to the planet.

Economic Eco Index — 100-Year Summary

Milestone Year	Conventional (light steel)	RC Upright Method	Advantage
Year 25	35.9%	38.5%	+2.6 pts
Year 50	30.5%	73.9%	+43.4 pts
Year 75	28.8%	89.5%	+60.7 pts
Year 100	28.0%	98.4%	+70.4 pts

By Year 100, the RC Upright Method achieves an Economic Eco Index of **98.4%** — nearly three and a half times that of conventional construction (28.0%). This dramatic divergence is driven by the elimination of full rebuilding cycles, continuous rental income, and substantially lower renovation costs — all hallmarks of AZRAS's three-layer Skeleton / Infill / Outfill architecture.

This analysis was prepared by a certified tax accountant's office based on the assumptions stated above. Actual results will vary depending on market conditions, tax regulations, and building specifications. This document is intended for investor reference only and does not constitute financial or tax advice.

RC Upright Method | Patent JP 2005-240511 | Inventor: Makito Akatsu | ACE Comprehensive Consulting Co., Ltd., Kasugai, Aichi, Japan